

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 17-07

**PORT ELIZABETH TERMINAL & WAREHOUSE CORP.
COMPLAINANT**

v.

**THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY
RESPONDENT**

**RESPONDENT'S BRIEF IN REPLY TO THE COMPLAINANT'S EXCEPTIONS TO
AND APPEAL OF THE INITIAL DECISION GRANTING MOTION TO PARTIALLY
DISMISS COMPLAINT**

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Factual Background

Port Elizabeth Terminal & Warehouse Corp. (“PETW”) is a public warehouse company that operates warehouses in the States of New York and New Jersey. *See* the January 12, 2018, Certification of Juan M. Barragan (“Barragan Cert.”) submitted in support of The Port Authority of New York and New Jersey’s (the “Port Authority”) motion for partial dismissal of PETW’s complaint at Exhibit (“Ex.”) A, p. 3, ¶ C.

On November 1, 2009, PETW and the Port Authority entered into an agreement pursuant to which, the Port Authority leased to PETW certain premises in Port Newark, New Jersey, that included buildings 201 and 202 (the “PETW Agreement”). *See* Barragan Cert. at Ex. C. The letting of buildings 201 and 202 commenced on November 1, 2009 with a termination date of October 31, 2019, unless terminated sooner pursuant to the terms of the PETW Agreement. *See* Barragan Cert. at Ex. C.

Section 41 of the PETW Agreement titled Additional Termination Rights/Recapture Rights, gave the Port Authority and PETW the right to terminate the letting of buildings 201 and 202, without cause, from and after October 31, 2015, on one year’s prior written notice to the other party. *See* Barragan Cert. at Ex. C, p. 61-62. “Termination under the provisions of this Section shall have the same effect as if the effective date of termination stated in the notice were the date of expiration of the Term.” *See* Barragan Cert. at Ex. C, p. 61-62.

On June 14, 2011, Port Newark Container Terminal (“PNCT”) and the Port Authority entered into an agreement (the “PNCT Agreement”) whereby the Port Authority agreed to deliver possession of certain parcels of land in Port Newark free of all tenants and occupants (the “Added Parcels”) to PNCT. *See* Barragan Cert. at Ex. D, p. 25. The Added Parcels would be delivered to PNCT in four phases. *See* Barragan Cert. at Ex. D, p. 7 and p. 14. PNCT, in turn, was required to

“develop and construct improvements on the Added Parcels for use as a Marine Container Terminal Facility . . . in accordance with plans and specifications approved by the Port Authority.” *See* Barragan Cert. at Ex. D, p. 36. Phase 3 required the Port Authority to deliver possession of buildings 201 and 202, which were occupied by PETW pursuant to the PETW Agreement, to PNCT no later than October 31, 2017. *See* Barragan Cert. at Ex. A, p. 7, ¶¶ Y-Z, Ex. D at p. 24, Ex. D at Ex. D-3, and Ex. D at Ex. D-3(i).

To deliver possession of the Added Parcels to PNCT in a timely manner, the Port Authority agreed “that it shall use commercially reasonable efforts to cause the current tenants at each of the Added Parcels to comply with the applicable provisions in their lease agreements with respect to vacation and surrender of the relevant Added Parcel . . . [and] not extend or renew any leases of the current tenants at each of the Added Parcels . . .” *See* Barragan Cert. at Ex. D, p. 25.

The expansion of PNCT’s facility in Port Newark was publicly announced shortly after the parties signed the PNCT Agreement on June 14, 2011. The PNCT Agreement became the subject of widespread media coverage and of numerous articles. According to a June 15, 2011 article titled “Port Newark Terminal Lease Deal to Double Volume” (the “News Article”), the “lease deal between the Port Authority of New York and New Jersey and Port Newark Container Terminal, or PNCT, calls for the company to secure \$500 million in private investment intended to transform its facility on Newark Bay into a larger, more efficient state-of-the-art terminal, which in turn would help accommodate the increased container volume.” *See* Barragan Cert. at Ex. E, p. 1.

According to the News Article, “PNCT’s original [lease] term . . . will be extended through 2050, while the amount of leased property will grow from 180 acres to 287.” *See* Barragan Cert. at Ex. E, p. 1. The News Article notes that “the new acreage has been occupied by several small tenants, including the Port Elizabeth Terminal Warehouse.” *See* Barragan Cert. at Ex. E, p. 1. The

News Article further notes that those tenants' leases, including PETW's, "are not being renewed, though the Port Authority said it is working to find new locations [for those tenants] within the port district." *See* Barragan Cert. at Ex. E, p. 1.

The News Article points out that the benefits of PNCT's investment pursuant to the PNCT Agreement will include the "creation of 1,150 jobs, including 350 construction jobs, resulting in \$88 million in annual wages and \$630 million in regional economic activity." *See* Barragan Cert. at Ex. E, p. 1.

On July 20, 2011, PETW's President, Patrick J. Wynne, requested in writing to meet with representatives of the Port Authority to further discuss PETW's plans to relocate its warehousing operations through the construction of new facilities. *See* Barragan Cert. at Ex. F. In the July 20, 2011 letter, Mr. Wynne notes that "[t]he announcement and publicity around the PNCT expansion, while a positive for the Port, has resulted in concerns on the part of our customers as to our future. Fortunately, at least one of the articles did mention that The Port Authority was working with us to find a new location." *See* Barragan Cert. at Ex. F.

As of March 16, 2016, PETW owed the Port Authority \$1,783,155.24 in unpaid rents and other charges. *See* Barragan Cert at Ex. G. This amount included rents going as far back as August 2015 that had not been paid in full. *See* Barragan Cert. at Ex. G. In an email dated March 16, 2016, PETW was advised that its "account remains severely delinquent and continues to draw negative attention within the Port Authority. To avoid this being escalated any further, a substantial payment must be made immediately." *See* Barragan Cert. at Ex. G.

As buildings 201 and 202 were part of the Added Parcels to be delivered to PNCT free of all occupants and tenants, on April 19, 2016, the Port Authority served upon PETW a Notice of Termination pursuant to section 41(a) of the PETW Agreement (the "Notice of Termination")

advising PETW that it was exercising its rights to terminate the letting of buildings 201 and 202 of effective May 1, 2017, with the last day of beneficial occupancy being April 30, 2017. *See* Barragan Cert. at Ex. H. By email dated April 20, 2016, PETW acknowledged receipt of the Notice of Termination. *See* Barragan Cert. at Ex. I.

Despite having over one year's written notice, PETW did not vacate building 201 or 202. On May 4, 2017, the Port Authority commenced a landlord/tenant action for a judgment of possession in the New Jersey Superior Court of Essex County, Law Division, Special Civil Part, Landlord/Tenant. *See* Barragan Cert. at Ex. N. On July 21, 2017, four days before the trial date of the landlord/tenant action, PETW filed a complaint with the Federal Maritime Commission (the "FMC" or the "Commission"). *See* Barragan Cert. at Ex. A. On July 25, 2017, the parties appeared before the Honorable Dennis F. Carey, III, P.J.Cv. for the trial of the landlord/tenant eviction action. The action was adjourned to July 26, 2017, so the trial court could consider the merits of PETW's order to show cause to stay the landlord/tenant eviction trial. *See* Barragan Cert. at Ex. O.

On July 26, 2017, Judge Carey denied PETW's order to show cause finding that he saw "no basis, whatsoever, to stay this matter, . . . or to give up jurisdiction over a landlord/tenant case, when . . . this claim that's being filed by the tenant in the Federal Maritime Commission is being filed some 15 months after they were served with the eviction notice." *See* Barragan Cert. at Ex. P, p. 17:13-20 and p. 20:6-7.

According to Judge Carey, PETW "sat on their rights for 15 months. They wait until the last minute, when the [landlord/tenant] case is schedule for trial. And, now, they want to stay a landlord proceeding case, in which the plaintiff, which is a governmental agency . . . is owed some \$3.5 million in back rent." *See* Barragan Cert. at Ex. P, p. 18:6-11.

Judge Carey noted his suspicions on the record that PETW's filing of the complaint with the FMC was merely a ploy to delay the eviction process. *See Barragan Cert. at Ex. P, p. 18:12-17.*

PETW then made an oral motion to transfer the case to the Law Division, Civil Part, in order to file a counterclaim against the Port Authority. *See Barragan Cert. at Ex. P, p. 20:11-23.* Judge Carey denied PETW's request and the matter proceeded to trial. *See Barragan Cert. at Ex. P, p. 20:22-24.* After both sides presented their cases, Judge Carey found that as a matter of law, the Port Authority complied with the provisions of the PETW Agreement and entered a judgment of possession in favor of the Port Authority. *See Barragan Cert. at Ex. P, p. 32:21-33:19.*

Thereafter, PETW proceeded to file an emergent application for a stay with the New Jersey Superior Court, Appellate Division. On August 7, 2017, the Appellate Division entered a decision and order denying PETW's application for a stay and affirming the trial court's decision and findings. *See Barragan Cert. at Ex. Q.* The Appellate Division found that "[a]lthough a prior application had been made to the FMC, *Id.*, the trial court reasonably found defendant's filing of a complaint with the FMC was an inappropriate tactic to delay eviction proceedings." *See Barragan Cert. at Ex. Q, p. 2.*

On September 18, 2017, a special civil part officer from Essex County served the warrant of removal upon PETW. *See Barragan Cert. at Ex. R.* It was only after the warrant of removal was served that PETW proceeded to vacate buildings 201 and 202. In an effort to aid PETW in its relocation efforts, the Port Authority allowed PETW until October 31, 2017 to vacate buildings 201 and 202 in their entirety.

Procedural History

A. PETW files a complaint with the FMC alleging that the Port Authority violated the Shipping Act.

On July 21, 2017, PETW filed a complaint with the FMC against the Port Authority containing the following causes of action:

1. The Port Authority gave undue or unreasonable preference or advantage to other marine terminal operators and imposed an undue or unreasonable prejudice or disadvantage upon PETW. *See* Barragan Cert. at Ex. A. Specifically, PETW alleges that in January 2012, the Port Authority entered into an agreement with PNCT that gave PNCT “unduly and unreasonably more favorable lease terms than [those] provided to Port Elizabeth Terminal & Warehouse Corp.” under the PETW Agreement. *See* Barragan Cert. at Ex. A, p. 4, ¶ K, p. 6, ¶ W, and p. 7, ¶ AA. PETW does not reference any other marine terminal operators other than the Port Authority and PNCT.
2. The Port Authority unreasonably refused to deal or negotiate with PETW regarding the premises by consistently declining “to make any commitments whatsoever regarding its plans for Port Elizabeth Terminal & Warehouse Corp.’s continued operations at Port Newark.” *See* Barragan Cert. at Ex. A, p. 9, ¶ NN. The complaint fails to specify any instances where the Port Authority refused to negotiate in good faith during the time periods identified in the complaint or at any time during the Port Authority’s more than 40-year relationship with PETW. Rather, the complaint details three meetings between the Port Authority and PETW to discuss PETW’s proposals to repay its debt, construct and operate new warehouse buildings to replace the buildings that PETW leased from the Port Authority, but had to be delivered to PNCT no later than October 31, 2017. *See* Barragan Cert. at Ex. A, p. 8-10. For instance, according to the complaint, “on or

about August 3, 2011, representatives of Port Elizabeth Terminal & Warehouse Corp. met with PANYNJ officials to discuss a proposal submitted on or about July 18, 2011 and to negotiate an agreement to finance, construct and operate state of the art warehouse buildings to replace buildings leased by Port Elizabeth Terminal & Warehouse Corp. from PANYNJ.” *See* Barragan Cert. at Ex. A, p. 8-9, ¶ JJ. The complaint further alleges that PETW met with Port Authority officials to negotiate on March 15, 2017 and March 28, 2017. *See* Barragan Cert. at Ex. A, p. 9, ¶ OO and p. 10, ¶ RR.

3. The Port Authority failed to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property. *See* Barragan Cert. at Ex. A, p. 11. Specifically, PETW claims that the Port Authority’s “regulations and practices favor Marine Terminal Operators over others based upon non-transportation factors in a way so as to unduly favor Marine Terminal Operators based upon status.” *See* Barragan Cert. at Ex. A, p. 11, ¶ AAA. Notably absent from the complaint are any regulations or practices that the Port Authority was required to establish, observe, and enforce, but failed to do so. Moreover, the complaint fails to provide any details describing how the Port Authority failed to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.

Based on these alleged violations of the Shipping Act, PETW seeks: 1) an order requiring the Port Authority to negotiate in good faith and reach agreement regarding alternative suitable space at reasonable rates for the continuation of PETW’s operations in Port Newark and providing PETW the preferences provided to PNCT and other tenants; 2) damages in the amount of all losses

incurred by PETW as a result of the Port Authority's actions; 3) attorneys' fees and costs; 4) interest, and; 5) any other relief that the FMC determines is appropriate. *See Barragan Cert. at Ex. A, p. 12-13.*

B. The Port Authority files its answer with affirmative defenses to PETW's complaint.

On August 17, 2017, the Port Authority filed its answer with affirmative defenses. *See Barragan Cert. at Ex. B.* As its second affirmative defense, the Port Authority contended that PETW's complaint fails to state a claim upon which relief can be granted. *See Barragan Cert. at Ex. B, p. 13.* As its fifth affirmative defense, the Port Authority asserted that PETW's claims are barred by the applicable statute of limitations. *See Barragan Cert. at Ex. B, p. 13.*

C. The Port Authority moves to dismiss PETW's claim for reparations and the second and third causes of action of the complaint.

On January 12, 2018, the Port Authority filed a motion to dismiss PETW's claim for reparations because PETW failed to commence this action within three years of its accrual as required by 46 U.S.C § 41301(a). The Port Authority also moved to dismiss PETW's claims for unreasonable refusal to deal or negotiate (the second cause of action) and failure to establish, observe, and enforce just and reasonable regulations (the third cause of action) because both causes of action are devoid of factual support and based entirely upon legal conclusions disguised as factual allegations. On January 27, 2018, PETW filed its opposition to the Port Authority's motion. In its opposition, PETW did not submit any additional documents to supplement the record. On February 5, 2018, the Port Authority filed its reply brief.

D. The ALJ grants the Port Authority's motion to dismiss.

On April 17, 2018, Administrative Law Judge ("ALJ"), Erin M. Wirth served her Initial Decision Granting Motion to Partially Dismiss Complaint (the "Initial Decision"). In her Initial Decision, the ALJ found that "the Shipping Act's statute of limitations bars reparations for the

complaint, although PETW may seek a cease and desist order.” *See* the Initial Decision at p. 2. The ALJ also found that “PETW’s complaint does not meet the *Iqbal/Twombly* pleading standard for claims of unreasonable refusal to deal or negotiate and for failing to establish, observe, and enforce just and reasonable regulations and practices.” *See* the Initial Decision at p. 2. “Accordingly, the Port Authority’s motion seeking partial dismissal is granted.” *See* the Initial Decision at p. 2.

1. The ALJ’s decision to dismiss PETW’s claim for reparations.

In her Initial Decision, the ALJ first noted that pursuant to 46 U.S.C. § 41301(a), the statute of limitations for a claim of reparations based upon a violation of the Shipping Act is three years from the date of its accrual. *See* the Initial Decision at p. 7. A claim accrues “when a defendant commits an act that injures a plaintiff’s business.” *See* the Initial Decision at p. 7. And “[t]he time to file the complaint begins to run when a complainant knew, or should have known, that it had a cause of action.” *See* the Initial Decision at p. 7.

In evaluating the Port Authority’s statute of limitations argument, the ALJ took judicial notice of the June 15, 2011 News Article “as an appropriate indicator of what information was in the public realm” at the time. *See* the Initial Decision at p. 12. The ALJ noted that she was not taking judicial notice of the veracity of the information contained in the News Article because the statements contained therein “cannot be accepted for the truth of the matters asserted.” *See* the Initial Decision at p. 12.

The ALJ determined that PETW’s claim for reparations accrued in June 2011 because “[t]he PNCT lease to which PETW objects was signed and in the public realm in June of 2011.” *See* the Initial Decision at p. 11. As of this date, PETW knew or should have known that it had a cause of action in light of the fact that the PNCT Agreement was in the public realm and explicitly

required the Port Authority to deliver possession of the premises (buildings 201 and 2010) that were being leased to PNCT no later than October 31, 2017. *See* the Initial Decision at p. 11-12. Therefore, “PETW had three years after it knew or should have known of the violation to file its complaint.” *See* the Initial Decision at p. 12. However, “PETW did not file its complaint until over six years after the PNCT lease was signed and in the public realm,” which is beyond the Commission’s three-year statute of limitations to file a claim for reparations. *See* the Initial Decision at p. 11.

As such, the ALJ “ordered that the claim for reparations be dismissed with prejudice.” *See* the Initial Decision at p. 16.

2. The ALJ’s decision to dismiss PETW’s claim for unreasonable refusal to deal or negotiate.

The ALJ dismissed PETW’s claim for unreasonable refusal to deal or negotiate because “PETW has not pled sufficient facts to plausibly suggest that there was a refusal to deal and to plausibly suggest that such a refusal was unreasonable.” *See* the ALJ’s Initial Decision at p. 13. Specifically, the ALJ found that “the complaint does not provide plausible factual support for the allegation that the Port Authority unreasonably refused to deal or violated sections 41106(3) and 41104(10).” *See* the ALJ’s Initial Decision at p. 14. “Accordingly, the complaint, accepted as true, fails to allege sufficient factual matter to state a plausible Shipping Act claim.” *See* the ALJ’s Initial Decision at p. 14.

The ALJ noted that “PETW’s conclusory legal statements such as ‘unreasonably,’ provide no factual support of its allegations that the Port Authority’s conduct violated the Shipping Act.” *See* the ALJ’s Initial Decision at p. 14. This is so because even if “[a]ccepting the facts asserted by PETW as true, the Port Authority met with PETW on a number of occasions.” *See* the ALJ’s Initial Decision at p. 13. Moreover, “[a]lthough PETW asserts that those discussions were not

done with ‘good faith’ on the part of the Port Authority, the only facts supporting that allegation are that the Port Authority did not agree with the demands of PETW.” *See* the ALJ’s Initial Decision at p. 13.

The ALJ also noted that the fact that “the Port Authority did not make a commitment regarding its plans does not suggest that the Port Authority was acting unreasonably or not in good faith. The mere fact of not receiving parity and of having different lease terms, which demonstrates a difference, is not sufficient to allege that the difference was unreasonable.” *See* the ALJ’s Initial Decision at p. 13.

In addition, the ALJ indicated that “[i]t appears that the statute of limitations would also bar the remaining claims for reparations for any unreasonable refusal to deal . . .” *See* the Initial Decision at p. 12. The ALJ reasoned that “[t]he continuing negotiations between the parties after the PNCT lease was signed did not toll the statute of limitations” with respect to PETW’s claim for reparations given PETW’s allegation that the Port Authority unreasonably refused to deal or negotiate. “However, there are not sufficient factual allegations alleged in the complaint to fully analyze the impact of the statute of limitations on these claims.” *See* the Initial Decision at p. 12.

3. The ALJ’s decision to dismiss PETW’s claim for failing to establish, observe, and enforce just and reasonable regulations.

In her Initial Decision, the ALJ first cites to the applicable statute, which provides, in relevant part, that “[u]nder the Shipping Act, section 41102(c), a common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” *See* the ALJ’s Initial Decision at p. 14. According to the ALJ, “the test of reasonableness as applied to terminal practices is that the practice must be otherwise lawful, not

excessive, and reasonably related, fit and appropriate to the ends in view.” *See* the ALJ’s Initial Decision at p. 14.

The ALJ dismissed PETW’s claim for failing to establish, observe, and enforce just and reasonable regulations because “PETW does not identify specific regulations or practices that the Port Authority failed to establish, observe, or enforce.” *See* the Initial Decision at p. 15. The ALJ also found that PETW’s “conclusory legal statements, such as ‘unreasonable,’ ‘unduly favor,’ and ‘no transportation purpose’ provide no factual support for the allegations that Respondent’s conduct violated the Shipping Act.” *See* the Initial Decision at p. 15. “Accordingly, the complaint, accepted as true, fails to allege sufficient factual matter to state a plausible Shipping Act claim under section 41102(c).” *See* the Initial Decision at p. 15.

Therefore, the ALJ dismissed PETW’s claim for failing to establish, observe, and enforce just and reasonable regulations.

E. PETW’s Appeal of the ALJ’s Initial Decision.

On May 8, 2018, PETW filed the present exceptions to and appeal of the Initial Decision dated April 17, 2018 (“PETW’s Appeal”). PETW claims that the ALJ erred in dismissing the reparations claim because she disregarded the applicable pleading requirements and improperly applied the statute of limitations. *See* PETW’s Appeal at p. 9-26. PETW also claims that the ALJ erred in considering exhibits E, N, O, and P of the Port Authority’s certification in support of its motion to dismiss. *See* PETW’s Appeal at p. 18-19.

In pages 2 and 24 of its appeal, PETW quotes to what it purports to be portions of the deposition testimony of Sam Ruda, who testified on behalf of the Port Authority. In doing so, PETW acted in contravention of the rules of appellate practice because the deposition of Sam Ruda is not part of the record of this appeal inasmuch as it was never referenced or included as an exhibit

in the moving and/or opposition papers. Moreover, Mr. Ruda's testimony merely shows that in the past, the parties had been able to negotiate deals to their mutual satisfaction. *See* PETW's Appeal at p. 2. The fact that the parties are unable to do so this time does not prove the Port Authority somehow violated the Shipping Act.

Argument

Standard of Review

The FMC should review the ALJ's decision to take judicial notice of the News Article, the PNCT Agreement, and documents from the proceedings before the Superior Court of New Jersey for abuse of discretion. Whereas the FMC should review the ALJ's findings of law *de novo*.

A. The ALJ's decision to take judicial notice is reviewed for abuse of discretion.

"[A] court's decision whether to take judicial notice of certain facts is reviewed for abuse of discretion." *United States v. Mitchell*, 365 F.3d 215, 251 (3d Cir. 2004) (quoting *In re NAHC, Inc. Sec. Litig.*, 306 F.3d 1314, 1323 (3d Cir. 2002) (internal quotation marks omitted)); *see Staehr v. Hartford Fin. Servs. Grp., Inc.*, 547 F.3d 406, 424 (2d Cir. 2008) (finding that an appellate court "review[s] the District Court's determination of whether to take judicial notice of facts for abuse of discretion"); *see also Finn v. Barney*, 471 F. App'x 30, 32 (2d Cir. 2012) (finding that the standard of review of a court's determination of whether to take judicial notice of documents is the abuse of discretion standard).

The abuse of discretion standard is highly deferential, entitling the underlying decision to a presumption of validity. *See United States v. Litvak*, 808 F.3d 160, 179 (2d Cir. 2015); *see also Gen. Elec. Co. v. Joiner*, 522 U.S. 136, 143 (1997) (holding that the Court of Appeals erred in excluding expert testimony because in doing so, "it failed to give the trial court the deference that is the hallmark of abuse-of-discretion review."). Under this standard, a reviewing court will not

disturb the trial court's decision unless it was manifestly erroneous. *Litvak*, 808 F.3d at 179. "Moreover, even if a ruling was manifestly erroneous, we [the reviewing court] will still affirm if the error was harmless." *United States v. McGinn*, 787 F.3d 116, 127 (2d Cir. 2015) (citing *United States v. Miller*, 626 F.3d 682, 688 (2d Cir. 2010)).

A court abuses its discretion when its action is "arbitrary, fanciful or clearly unreasonable." *United States v. Starnes*, 583 F.3d 196, 214 (3d Cir. 2009). However, a reviewing court "will not disturb a trial court's exercise of discretion unless no reasonable person would adopt the district court's view." *Id.* (quoting *Ansell v. Green Acres Contracting Co.*, 347 F.3d 515, 519 (3d Cir. 2003) (internal quotation marks omitted)).

In this matter, the ALJ did not abuse her discretion in taking judicial notice of the News Article because courts can take judicial notice of news publications to establish what information was in the public realm. In addition, judicial notice was properly taken of the News Article because same was originally in PETW's possession and produced by it during the course of discovery. Similarly, the ALJ did not abuse her discretion in taking judicial notice of the PNCT Agreement because it forms the basis of PETW's claims. Finally, the ALJ did not abuse her discretion in taking judicial notice of the court orders and transcripts of the proceedings before the Superior Court of New Jersey because the FMC can take judicial notice of documents filed in another court to establish the fact of such litigation and related filings.

B. The ALJ's legal findings are reviewed under the *de novo* standard.

An appellate court reviews a "district court's order granting the motion to dismiss *de novo*." *Carter v. Washington Metro. Area Transit Auth.*, 503 F.3d 143, 145 (D.C. Cir. 2007) (citing *King v. Jackson*, 487 F.3d 970, 972 (D.C. Cir. 2007)). In doing so, the appellate court applies "the same standard as that applicable to a motion under Rule 12(b)(6)." *Sheppard v. Beerman*, 18 F.3d 147,

150 (2d Cir. 1994); *see Sulima v. Tobyhanna Army Depot*, 602 F.3d 177, 184 (3d Cir. 2010); *see also Heller v. Consol. Rail Corp.*, 331 F. App'x 766, 767-68 (2d Cir. 2009).

The FMC's Rules of Practice and Procedure do not explicitly provide for a motion to dismiss for failure to state a claim. *Maier Terminals, LLC v. The Port Authority of New York and New Jersey*, FMC Docket No. 12-02, 2015 WL 9426189, at *8 (F.M.C. Dec. 18, 2015). However, the rules do provide that "[i]n proceedings under this part, for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice." 46 C.F.R. § 502.12. Rule 12(b)(6) permits a pleader to raise by motion failure to state a claim. The FMC has followed Rule 12(b)(6) as well as the plausibility standard of *Iqbal* and *Twombly* in reviewing motions to dismiss. *See Maier Terminals, LLC*, 2015 WL 9426189 at *8.

"On a motion to dismiss for failure to state a claim upon which relief can be granted pursuant to Rule 12(b)(6), courts will dismiss a claim if the plaintiff's complaint fails to plead 'enough facts to state a claim for relief that is plausible on its face.'" *Cornell v. Princess Cruise Lines, Ltd.*, FMC Docket No. 13-02, 2014 WL 5316340, at *6 (F.M.C. Aug. 28, 2014) (quoting *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 570 (2007)); *Mitsui O.S.K. Lines, Ltd. v. Global Link Logistics, Inc.*, FMC Docket No. 09-01, 2011 WL 7144008, at *12 (F.M.C. Aug. 1, 2011).

"A claim has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged." *Mitsui O.S.K. Lines, Ltd.*, 2011 WL 7144008, at *12 (quoting *Ashcroft v. Iqbal*, 556 U.S. 664 (2009) (internal quotation marks omitted)). "The complaint must be sufficient to give the defendant fair notice of what the ... claim is and the grounds upon which it rests." *Id.* (quoting *Twombly*, 550 U.S. at 555) (internal quotation marks omitted).

Evaluated in conjunction with Rule 12(b)(6), the FMC’s pleading standard requires a “short and plain statement of the claim showing that the pleader is entitled to relief.” 46 C.F.R. § 502.62(a). “For the purposes of a motion to dismiss under Rule 12(b)(6), the court takes all facts alleged in the complaint as true.” *Rudder*, 47 F. Supp. 3d at 50 (citing *Twombly*, 550 U.S. at 556). The FMC must construe the factual allegations in the complaint in the light most favorable to the complainant. *Cornell*, 2014 WL 5316340, at *7 (citing *Barr v. Clinton*, 370 F.3d 1196, 1199 (D.C. Cir. 2004)). However, the FMC will not “accept any inferences drawn by Complainants that are unsupported by the facts pleaded in the complaint . . . [or] accept legal conclusions cast in the form of factual allegations.” *Cornell*, 2014 WL 5316340, at *7 (citing *Barr*, 370 F.3d at 1199; *Kowal v. MCI Commc’ns Corp.*, 16 F.3d 1271, 1276 (D.C. Cir. 1994)).

It is well-settled that “[a] pleading that offers labels and conclusions or a formulaic recitation of the elements of a cause of action will not do.” *Iqbal*, 556 U.S. at 678 (quoting *Twombly*, 550 U.S. at 555) (internal quotation marks omitted). “Where a complaint pleads facts that are merely consistent with a defendant’s liability, it stops short of the line between possibility and plausibility of entitlement to relief.” *Id.* “[W]here a plaintiff is unable to allege any fact sufficient to support its claim, a complaint should be dismissed with prejudice.” *Cortec Indus., Inc. v. Sum Holding L.P.*, 949 F.2d 42, 48 (2d Cir. 1991).

In addition to moving to dismiss for failure to state a claim, “defendants may raise a statute of limitations defense in a motion to dismiss under Federal Rule of Civil Procedure 12(b)(6) when the facts that give rise to the defense are clear from the face of the complaint.” *Rudder*, 47 F. Supp. 3d at 50 (quoting *Smith–Haynie v. District of Columbia*, 155 F.3d 575, 578 (D.C. Cir. 1998) (internal quotation marks omitted)). Before the FMC, “[t]he standards of Rule 12(b)(6) apply to a motion to dismiss based on a statute of limitations.” *Maher Terminals, LLC*, 2015 WL 9426189,

at *37 (citing *In re Mirena IUD Prods. Liability Litig.*, 29 F. Supp. 3d 345, 350 (S.D.N.Y. 2014)). “[D]ismissal is appropriate only if the complaint on its face is conclusively time-barred.” *Firestone v. Firestone*, 76 F.3d 1205, 1209 (D.C. Cir. 1996).

Here, the ALJ did not err in dismissing PETW’s claim for reparations because it is barred by the Shipping Act’s statute of limitations and no tolling provision applies. Similarly, the ALJ did not err in dismissing PETW’s claims for unreasonable refusal to deal or negotiate and for failing to establish, observe, and enforce just and reasonable regulations because both claims failed to meet the *Iqbal/Twombly* pleading standard.

Point I

The ALJ did not abuse her discretion in taking judicial notice of the News Article, the PNCT Agreement, or the court orders and transcripts from the proceedings before the Superior Court of New Jersey.

“When evaluating a motion to dismiss for failure to state a claim, the Commission considers the facts alleged in the complaint, documents attached to the complaint, documents incorporated by reference in, or integral to, the complaint, and matters subject to official notice.” *Maher Terminals, LLC*, 2015 WL 9426189, at *41 n. 1 (F.M.C. Dec. 18, 2015) (citing *Farah v. Esquire Magazine*, 736 F.3d 528, 534 (D.C. Cir. 2013)); see *Chambers v. Time Warner, Inc.*, 282 F.3d 147, 153 (2d Cir. 2002). “Official notice may be taken of such matters as might be judicially noticed by the courts, or of technical or scientific facts within the general knowledge of the Commission” 46 C.F.R. § 502.226(a). In this matter, the ALJ did not abuse her discretion in taking judicial notice of the News Article, the PNCT Agreement or the court orders and transcripts from the proceedings before the Superior Court of New Jersey.

Taken in turn, the ALJ did not abuse her discretion in taking judicial notice of the News Article because courts can take judicial notice of news publications to establish what information

was in the public realm. In addition, it was proper for the ALJ to take judicial notice of the News Article because it was originally in PETW's possession and produced by it during the course of discovery.

Similarly, the ALJ did not abuse her discretion in taking judicial notice of the PNCT Agreement because it is integral to this action in that it forms the basis for PNCT's claims. Further, the PNCT Agreement is related to the shipping industry inasmuch as the parties to it are marine terminal operators and bound by the Shipping Act.

Finally, the ALJ did not abuse her discretion in taking judicial notice of the court orders and transcripts from the proceedings before the Superior Court of New Jersey because courts can take judicial notice of documents filed in another court to establish the fact of such litigation and related filings.

A. The ALJ did not abuse her discretion in taking judicial notice of the News Article because it was used for the purpose of showing that the PNCT Agreement was in the public realm at the time the News Article was published.

"[O]n a motion to dismiss, a court may consider documents attached to the complaint as an exhibit or incorporated in it by reference, . . . matters of which judicial notice may be taken, or . . . documents either in plaintiffs' possession or of which plaintiffs had knowledge and relied on in bringing suit." *Chambers*, 282 F.3d at 153 (quoting *Brass v. Am. Film Techs., Inc.*, 987 F.2d 142, 150 (2d Cir. 1993) (internal quotation marks omitted)); see *Heliotrope Gen., Inc. v. Ford Motor Co.*, 189 F.3d 971, 981 n. 18 (9th Cir. 1999) (noting that "[w]hen considering a motion for judgment on the pleadings, this court may consider facts that are contained in materials of which the court may take judicial notice.").

It is well-settled that a court may take judicial notice of newspaper articles for the fact of their publication. *Benak ex rel. All. Premier Growth Fund v. All. Capital Mgmt. L.P.*, 435 F.3d

396, 401 n. 15 (3d Cir. 2006); *Ieradi v. Mylan Labs., Inc.*, 230 F.3d 594, 598 n. 2 (3d Cir. 2000); *Peters v. Delaware River Port Auth. of Pennsylvania & New Jersey*, 16 F.3d 1346, 1357 (3d Cir. 1994); *Washington Post v. Robinson*, 935 F.2d 282, 291 (D.C. Cir. 1991).

In addition, a “[c]ourt may take judicial notice of newspaper articles for the fact of their publication without transforming the motion into one for summary judgment.” *In re Merrill Lynch & Co., Inc. Research Reports Sec. Litig.*, 289 F. Supp. 2d 416, 425 n. 15 (S.D.N.Y. 2003); *Bais Yaakov of Spring Valley v. Alloy, Inc.*, 936 F. Supp. 2d 272, 278 (S.D.N.Y. 2013) (finding that the court may take judicial notice of news or journal articles for the facts of its publication); *Pension Comm. of Univ. of Montreal Pension Plan v. Banc of Am. Sec., LLC*, 446 F. Supp. 2d 163, 175-76 (S.D.N.Y. 2006) (finding that “[c]ourts may also take judicial notice of stock prices and press articles, for the fact of their publication.”); *Benak ex rel. All. Premier Growth Fund*, 435 F.3d at 401 n. 15 (noting that courts may take judicial notice of newspaper articles “to indicate what was in the public realm at the time, not whether the contents of those articles were in fact true.”); *Von Saher v. Norton Simon Museum of Art at Pasadena*, 592 F.3d 954, 960 (9th Cir. 2010) (finding that “[c]ourts may take judicial notice of publications introduced to indicate what was in the public realm at the time, not whether the contents of those articles were in fact true.”).

In the instant matter, the ALJ took judicial notice of the News Article as “an appropriate indicator of what information was in the public realm.” See the Initial Decision at p. 12. The ALJ did not abuse her discretion in taking judicial notice of the News Article because she relied upon it solely for the purpose of showing that the PNCT Agreement was in the public realm at the time the News Article was published. See *In re Merrill Lynch & Co., Inc. Research Reports Sec. Litig.*, 289 F. Supp. 2d at 425 n. 15; *Bais Yaakov of Spring Valley*, 936 F. Supp. 2d at 278; *Pension Comm. of Univ. of Montreal Pension Plan*, 446 F. Supp. 2d at 175-76.

The News Article, which was published the day after the parties entered into the PNCT Agreement, stated that PNCT would be provided with new acreage, which at the time, was being “occupied by several small tenants, including the Port Elizabeth Terminal Warehouse.” *See* Barragan Cert. at Ex. E, p. 1. The News Article also stated that those tenants’ leases, including PETW’s, would not be “renewed, though the Port Authority said it is working to find new locations [for those tenants] within the port district.” *See* Barragan Cert. at Ex. E, p. 1.

Moreover, it was proper for the ALJ to take judicial notice of the News Article because the document was originally in PETW’s possession and produced by PETW as part of its initial disclosures. *See Chambers*, 282 F.3d at 153 (finding that a court may take judicial notice of “documents either in plaintiffs’ possession or of which plaintiffs had knowledge and relied on in bringing suit.”). This is evidenced by the bates number on the bottom right hand side of the News Article, which indicates that it was produced by PETW. *See* Barragan Cert. at Ex. E.

As such, PETW’s argument that the ALJ improperly took judicial notice of Exhibit E is without merit, especially in light of the fact that it was PETW the one who was in possession of this document and produced it as part of its initial disclosures.

For the foregoing reasons, the ALJ did not abuse her discretion in taking judicial notice of the News Article and relying upon it same for the purpose of determining the date on which PETW’s claim for reparations accrued.

B. The ALJ did not abuse her discretion in taking notice of the PNCT Agreement because the document is integral to this action and related to the shipping industry.

“In considering a motion to dismiss for failure to state a claim pursuant to Rule 12(b)(6), a district court may consider the facts alleged in the complaint, documents attached to the complaint as exhibits, and documents incorporated by reference in the complaint.” *DiFolco v. MSNBC Cable L.L.C.*, 622 F.3d 104, 111 (2d Cir. 2010) (citing *Chambers*, 282 F.3d at 153; *Hayden v. Cty. of*

Nassau, 180 F.3d 42, 54 (2d Cir. 1999)); *see L-7 Designs, Inc. v. Old Navy, LLC*, 647 F.3d 419, 422 (2d Cir. 2011) (noting that a “complaint is also deemed to include any written instrument attached to it as an exhibit, materials incorporated in it by reference, and documents that, although not incorporated by reference, are integral to the complaint.”).

“Where a document is not incorporated by reference, the court may nevertheless [sic] consider it where the complaint relies heavily upon its terms and effect, thereby rendering the document integral to the complaint.” *DiFolco*, 622 F.3d at 111 (quoting *Mangiafico v. Blumenthal*, 471 F.3d 391, 398 (2d Cir. 2006)); *CardioNet, Inc. v. Cigna Health Corp.*, 751 F.3d 165, 168 n.2 (3d Cir. 2014) (finding that in a motion to dismiss, the court could consider contracts not appended to the complaint that were integral to the action); *Sira v. Morton*, 380 F.3d 57, 67 (2d Cir. 2004) (finding that a document not expressly cited in complaint was incorporated into the pleading because it was integral to plaintiff’s ability to pursue his cause of action).

In a motion to dismiss, the court can also consider documents of which the plaintiff had notice and which were integral to its claim even though those documents were not incorporated into the complaint by reference. *See Cortec Indus., Inc.*, 949 F.2d at 48 (finding that “where plaintiff has actual notice of all the information in the movant’s papers and has relied upon these documents in framing the complaint the necessity of translating a Rule 12(b)(6) motion into one under Rule 56 is largely dissipated.”). In deciding a motion to dismiss, the court can consider these extraneous documents without converting the motion to dismiss into one for summary judgment. *See Diva’s Inc. v. City of Bangor*, 411 F.3d 30, 38 (1st Cir. 2005) (finding that the trial court properly considered a settlement agreement in deciding the motion to dismiss because the appellant’s claim in the complaint was that the appellees breached the settlement agreement); *see also Cortec Indus., Inc.*, 949 F.2d at 48 (finding that the district court could consider documents

of which the plaintiff had notice and which were integral to its claim in ruling on motion to dismiss even though those documents were not incorporated into the complaint by reference); *see, e.g., Pani v. Empire Blue Cross Blue Shield*, 152 F.3d 67, 75 (2d Cir. 1998) (finding that it is well established that a district court may rely on matters of public record in deciding a motion to dismiss under Rule 12(b)(6), including case law and statutes.).

In this action, the ALJ did not abuse her discretion in taking notice of the PNCT Agreement for purposes of determining when PETW's cause of action accrued because the document is integral to this action inasmuch as the explicit language of the PNCT Agreement contains unduly preferential or advantageous provisions favoring PNCT by requiring that the Port Authority deliver possession to PNCT the premises that PETW was occupying pursuant to the PETW Agreement. *See Barragan Cert. at Ex. A, p. 7, ¶¶ Y-Z, and Ex. D at p. 24.* In addition, the PNCT Agreement is related to the shipping industry because PNCT and the Port Authority, who are the signatories to the PNCT Agreement, are marine terminal operators and bound by the Shipping Act.

Accordingly, the ALJ did not abuse her discretion in taking notice of the PNCT Agreement.

C. The ALJ did not abuse her discretion in taking judicial notice of the court orders and transcripts from the proceedings before the Superior Court of New Jersey.

A “court may take judicial notice of a document filed in another court not for the truth of the matters asserted in the other litigation, but rather to establish the fact of such litigation and related filings.” *Glob. Network Commc'ns, Inc. v. City of New York*, 458 F.3d 150, 157 (2d Cir. 2006) (quoting *Int'l Star Class Yacht Racing Ass'n v. Tommy Hilfiger U.S.A., Inc.*, 146 F.3d 66, 70 (2d Cir. 1998) (internal quotation marks omitted)); *Kramer v. Time Warner Inc.*, 937 F.2d 767, 774 (2d Cir. 1991) (noting that “[t]he practice of taking judicial notice of public documents is not new. . . . courts routinely take judicial notice of documents filed in other courts, again not for the

truth of the matters asserted in the other litigation, but rather to establish the fact of such litigation and related filings.”).

Here, the ALJ took judicial notice of the court orders and transcripts from the landlord/tenant proceeding that the Port Authority filed in the Superior Court of New Jersey for the purpose of establishing the facts pertaining to that litigation. *See* the Initial Decision at p. 14.

As such, PETW’s contention that the ALJ improperly considered exhibit N (a copy of the landlord/tenant complaint filed with the Superior Court of New Jersey), exhibit O (a copy of the transcripts of the landlord/tenant proceedings before the Superior Court of New Jersey), and exhibit P (copy of the transcript of the order to show cause hearing before the Superior Court of New Jersey) is therefore without merit. The cases cited above make it clear that the ALJ is allowed to take judicial notice of legal documents filed with another court to establish the fact of such litigation and related filings.

Accordingly, the ALJ did not abuse her discretion in taking judicial notice of the court orders and transcripts from the proceedings before the Superior Court of New Jersey.

Point II

The ALJ not err in dismissing PETW’s claim for reparations for unreasonable preference or advantage because it is barred by the Shipping Act’s statute of limitations and no tolling provision applies.

PETW’s claim for reparations is time barred because it did not file a complaint within three years of the date it knew or should have known that it had a cause of action for unreasonable preference or advantage, and the continuing violation tolling provision does not apply.

A. PETW’s claim for reparations is barred by the Shipping Act’s three-year statute of limitations.

In order to prove a claim of unreasonable preference or advantage or unreasonable prejudice or disadvantage, a party must establish that: “(1) two parties are similarly situated or in

a competitive relationship; (2) the parties were accorded different treatment; (3) the unequal treatment is not justified by differences in transportation factors; and (4) the resulting prejudice or disadvantage is the proximate cause of injury.” *Ceres Marine Terminal, Inc. v. Maryland Port Administration*, FMC Docket No. 94-01, 1997 WL 35281266, at *31 (F.M.C. October 10, 1997).

However, mere differences in treatment, alone do not violate the Shipping Act. *Seacon Terminals, Inc. v. The Port of Seattle*, FMC Docket No. 90-16, 1993 WL 197325, at p. *16 (F.M.C. April 14, 1993); *Petchem, Inc. v. Canaveral Port Authority, et al.*, FMC Docket No. 84-28, 1986 WL 170038, at p. *18-19 (F.M.C. March 28, 1986). Moreover, a marine port need not apply the same terms to all customers and may consider many factors relevant to negotiating a lease. *See Ceres Marine Terminals, Inc. v. Maryland Port Administration*, FMC Docket No. 94-01, 2001 WL 1085428, at *19-23 (F.M.C. August 15, 2001) (finding that “[t]he Commission is not responsible for ensuring that everybody makes a good deal – just that the commercial environment is not hampered by unreasonable or unjustly discriminatory practices.”). “Indeed, it would be impossible for the Port to insure that all of its tenants are identically situated, since each parcel and each operator has geographical and commercial idiosyncrasies.” *Seacon Terminals, Inc.*, 1993 WL 197325 at *20.

Pursuant to 46 U.S.C. § 41301(a), a complainant can seek reparations for an injury caused by a respondent’s violation of the Shipping Act only if a complaint is filed within three years after the claim accrues. Reparations refers to money damages. *See* 46 C.F.R. § 502.62 (providing that a “complaint may seek reparation (money damages) for injury caused by violation of the Shipping Act of 1984.”).

“[C]laim accrual occurs when a complainant knew or should have known that it had a cause of action as opposed to a *prima facie* case.” *Maher Terminals, LLC v. The Port Authority of New*

York and New Jersey, FMC Docket No. 08-03, 2013 WL 9808667, at *6 (F.M.C. Jan. 31, 2013). Therefore, “the statute of limitations begins to run from the date at which the claimant knew, or should have known, of the existence of facts” to establish a *prima facie* case of unreasonable preference or advantage or unreasonable prejudice or disadvantage. *Id.*

“The essential element of the statute of limitations defense for reparations claims under the [Shipping] Act is that the cause of action accrued more than three years prior to the filing of the complaint.” *Maier Terminals, LLC*, 2013 WL 9808667 at *2 (citing Fed. R. Civ. P. 8(c)(1); Fed. R. Civ. P. 54). “[B]ecause the statute of limitations is an affirmative defense, the burden is on the defendant to show that the statute of limitations has run. If the defendant meets this requirement, then the burden shifts to the plaintiff to establish an exception to the statute of limitations.” *Id.* (quoting *Campbell v. Grand Trunk W. R. R. Co.*, 238 F.3d 772, 775 (6th Cir. 2001) (internal quotation marks omitted)).

“Absent an exception, a claim accrues (and the statute of limitations begins to run) when a defendant commits an act that injures a plaintiff’s business.” *Maier Terminals, LLC*, 2013 WL 9808667 at *4 (quoting *Zenith Radio Corp. v. Hazeltine Research Inc.*, 401 U.S. 321, 338 (1971) (internal quotation marks omitted)). One of these exceptions is the discovery rule. “Under the discovery rule, adopted by the Commission . . . a statute of limitations period will not begin to run until a party knew or with reasonable diligence should have known that it had a claim.” *Id.* (quoting *Inlet Fish Prod., Inc. v. Sea-Land Serv., Inc.*, FMC Docket No. 00-03, 2001 WL 1632551, at *7 (F.M.C. Sept. 19, 2001) (internal quotation marks omitted)).

In this action, PETW is claiming that the Port Authority gave undue or unreasonable preference to PNCT by unduly and unreasonably offering it more favorable terms than those offered to PETW. This is evidenced by the explicit language of the PNCT Agreement and its

requirement that the Port Authority deliver possession to PNCT the premises that PETW was occupying pursuant to the PETW Agreement by October 31, 2017. *See* Barragan Cert. at Ex. A, p. 7, ¶¶ Y-Z, and Ex. D at p. 24. Accepting all the allegations contained in PETW’s complaint as true, PETW’s claim accrued in June 2011 because the PNCT Agreement with the unduly preferential terms was entered into on June 14, 2011, and the News Article, which describes the lease agreement between the Port Authority and PNCT and its impact on PETW, was published on June 15, 2011. *See* Barragan Cert. at Ex. D and Ex. E.

As such, the ALJ correctly found that PETW’s claim for reparations accrued in June 2011 because as of this date, PETW knew or should have known that it had a cause of action inasmuch as the PNCT Agreement was in the public realm at the time. *See* the Initial Decision at p. 12.

In its appeal, PETW claims that it did not have “conclusive information” of the existence of a cause of action because of the Port Authority’s “empty promises to provide alternative suitable marine terminal facilities at reasonable rates for continuation of Port Elizabeth Terminal & Warehouse Corp.’s operations at Port Newark.” *See* PETW’s Appeal at p. 23. Such argument is irrelevant for purposes of determining when PETW’s cause of action for reparations accrued. As set forth above, a cause of action under the Shipping Act accrues on the date that the complainant knew or should have known of the existence of fact to establish a claim for unreasonable preference or advantage. *See Maher Terminals, LLC*, 2013 WL 9808667 at *6. Accordingly, PETW’s claim for reparations accrued in June 2011 because during this month, the PNCT Agreement into and the agreement was in the public realm and the subject of numerous publications and articles.

Pursuant to 46 U.S.C. § 41301(a), PETW was required to file its claim for reparations within three years after the claim accrues or by June 15, 2014. Because PETW did not file this

action until July 21, 2017, the ALJ properly dismissed the claim for reparations with prejudice as time-barred.

B. The continuing violation rule is inapplicable in this action.

The continuing violation rule “permits a cause of action to accrue whenever the wrongdoer commits an overt act in furtherance of an antitrust conspiracy or, in the absence thereof, commits an act that by its very nature is a continuing antitrust violation.” *Maier Terminals v. The Port Authority of New York and New Jersey*, FMC Docket No. 08-03, 2011 WL 7144003, at *30 (F.M.C. May 16, 2011) (quoting *Kaiser Aluminum & Chemical Sales, Inc. v. Avondale Shipyards, Inc.*, 677 F.2d 1045, 1051 (5th Cir. 1982)). “For statute of limitations purposes, ... the focus is on the timing of the causes of injury, i.e., the defendant’s overt acts, as opposed to the effects of the overt acts.” *Id.* (quoting *DXS, Inc. v. Siemens Medical Systems, Inc.*, 100 F.3d 462, 467 (6th Cir. 1996)).

“An overt act has two elements: (1) it must be a new and independent act that is not merely a reaffirmation of a previous act, and (2) it must inflict new and accumulating injury on the plaintiff.” *Id.* (quoting *Pace Indus., Inc. v. Three Phoenix Co.*, 813 F.2d 234, 238 (9th Cir. 1987)).

However, “[p]erformance of the alleged anticompetitive contracts during the limitations period is not sufficient to restart the period.” *Id.* (citing *Eichman v. Fotomat Corp.*, 880 F.2d 149, 160 (9th Cir. 1989) (emphasis added)); see *Ward v. Caulk*, 650 F.2d 1144, 1147 (9th Cir. 1981) (holding that a “continuing violation is occasioned by continual unlawful acts, not by continual ill effects from an original violation.”). “In addition, when a complaining party was fully aware of the terms of an agreement . . . , an injury occurs only when the agreement is initially imposed; thus, the limitations period typically is not tolled by the requirements placed on the parties under

the agreement.” *Maier Terminals*, WL 7144003 at *30. Moreover, “[a]cts that are merely “unabated inertial consequences of a single act do not restart the statute of limitations.” *Id.*

In its appeal, PETW contends that the claims in the complaint are not barred by the statute of limitations because the complaint “alleges continuing violations of the Shipping Act which must be accepted as true.” *See* PETW’s Appeal at p. 25. In support thereof, PETW references the prayer of damages in the complaint where it claims that as result of the Port Authority’s violations, PETW “has sustained and continues to sustain injuries for damages” *See* PETW’s Appeal at p. 25. In other words, PETW is claiming that it continues to sustain damages as a consequence of the parties’ performance of the PNCT Agreement, which is unduly preferential. As set forth above, the “performance of the alleged anticompetitive contracts during the limitations period is not sufficient to restart the period.” *See Maier Terminals*, WL 7144003 at *30. The fact that PETW alleged in its complaint that it continues to suffer damages as a result of the PNCT Agreement is insufficient to restart the statute of limitations.

For the foregoing reasons, the Port Authority respectfully submits that the ALJ did not err in dismissing PETW’s claim for reparations with prejudice because it is barred by the Shipping Act’s statute of limitations and no tolling provision applies.

Point III

The ALJ did not err in dismissing PETW’s claims for unreasonable refusal to deal or negotiate and for failing to establish, observe, and enforce just and reasonable regulations because PETW failed to meet the *Iqbal/Twombly* pleading standard.

As set forth above, “[a] pleading that offers labels and conclusions or a formulaic recitation of the elements of a cause of action will not do.” *Iqbal*, 556 U.S. at 678 (quoting *Twombly*, 550 U.S. at 555) (internal quotation marks omitted).

In evaluating a 12(b)(6) motion to dismiss, the FMC follows a two-step process. “The first step is typically to identify pleadings that are not entitled to the assumption of truth because they are legal conclusions.” *Maier Terminals, LLC*, 2015 WL 9426189, at *13 (citing *Iqbal*, 556 U.S. at 679). “These conclusions can provide a framework, but they must be supported by factual allegations.” *Id.*

“The next step is to assume the truth of the well-pleaded factual allegations and determine whether they plausibly give rise to an entitlement to relief.” *Id.* (quoting *Iqbal*, 556 U.S. at 679) (internal quotation marks omitted). “The factual allegations needed to reach plausibility will vary depending on the complexity of the case, both to give the opposing party notice of what the case is all about and to show how, in the plaintiff’s mind, the dots should be connected.” *Id.* (quoting *Swanson v. Citibank, N.A.*, 614 F.3d 400, 405 (7th Cir. 2010) (internal quotation marks omitted)).

“Determining whether a complaint states a plausible claim for relief will . . . be a context-specific task that requires the reviewing court to draw on its judicial experience and common sense.” *Id.* (quoting *Iqbal*, 556 U.S. at 679) (internal quotation marks omitted).

Here, applying the two-step process outlined above, the ALJ properly dismissed PETW’s claims for unreasonable refusal to deal or negotiate and for failing to establish, observe, and enforce just and reasonable regulations. The complaint failed to plead sufficient facts to plausibly suggest that there was a refusal to deal and that such refusal was unreasonable. Similarly, the claim for failing to establish, observe, and enforce just and reasonable regulations failed to identify specific regulations or practices that the Port Authority failed to establish, observe, or enforce.

A. The ALJ did not err in dismissing PETW's claim for unreasonable refusal to deal or negotiate because the complaint failed to plead sufficient facts to plausibly suggest that there was a refusal to deal and that such refusal was unreasonable.

46 U.S.C. § 41106(3) states that a marine terminal operator may not unreasonably refuse to deal or negotiate. "In evaluating a § 41106(3) claim, the Commission asks: (1) whether an entity refused to deal or negotiate; and (2) if so, whether the refusal was unreasonable." *Maier Terminals, LLC*, 2015 WL 9426189, at *6.

The FMC has held that a refusal to deal is not unreasonable if it is "justified by particular circumstances in effect." *Docking & Lease Agreement By & Between City of Portland, ME and Scotia Prince Cruises Ltd.*, FMC Docket No. 04-10, 2004 WL 1895827, at *3 (F.M.C. Aug. 23, 2004). Rather, a refusal to negotiate under the Act means refusal "by a marine terminal operator to give actual consideration to an entity's efforts at negotiation." *Canaveral Port Authority – Possible Violations of Section 10(B)(10), Unreasonable Refusal to Deal or Negotiate*, FMC Docket No. 02-02, 2003 WL 723336, at *18 (F.M.C. Feb. 24, 2003). In *Canaveral*, the FMC found an unreasonable refusal to deal where a marine terminal operator, without good cause, expressly refused to conduct a mandatory hearing to discuss and consider an application by a tug company for a tug and towing franchise at the port.

However, there is no unreasonable refusal to deal or negotiate when a marine terminal operator makes a decision by exercising its business discretion. *Seacon Terminals, Inc.*, 1993 WL 197325 at *18-19. In *Seacon Terminals, Inc.*, a port and a marine terminal operator engaged in discussions for more than a year about the terms of a lease renewal; when the negotiations broke down, the port leased the lot to another entity. The FMC found that the port did not unlawfully refuse to deal or negotiate in deciding to go forward with negotiations with the other entity instead

of trying again with the marine terminal operator. *Id.* at *19. The FMC reasoned that the port's decision "was a wholly reasonable exercise of its business discretion." *Id.*

Similarly, in *Global Link Logistics v. Hapag-Lloyd*, FMC Docket No. 13-07, 2014 WL 5316345 (F.M.C. Apr. 17, 2014), the FMC found that the complainant failed to establish a claim for unreasonable refusal to deal or negotiate against Hapag-Lloyd because "[a]ccording to the facts alleged in the Complaint, taken as true for this motion, every year from 2007 to 2012 Hapag-Lloyd engaged in negotiations with Global Link" *Id.* at *17. The FMC also found that "[t]o the extent Global Link intends to claim that Hapag-Lloyd refused to deal or negotiate in the period, that claim is contradicted by the facts alleged in the Complaint." *Id.* In finding that dismissal of Global Link's claim of unreasonable refusal to deal or negotiate was warranted, the FMC reasoned that the Shipping "Act does not guarantee the right to enter into a contract, much less a contract with any specific terms; such a right has not existed either before or since the passage of OSRA [Ocean Shipping Reform Act]. All that is required is that common carriers . . . refrain from "shutting out" any person for reasons having no relation to legitimate transportation-related factors." *Id.*

Moreover, a refusal is not unreasonable where it is "justified by particular circumstances in effect." *Docking and Lease Agreement by and Between City of Portland, Maine and Scotia Prince Cruises LTD*, FMC Docket No. 04-10, 2004 WL 1895827, at *3 (F.M.C. Aug. 23, 2004). Furthermore, the § 41106(3) provision of the Act "does not guarantee the right to enter into a contract, much less a contract with any specific terms." *New Orleans Stevedoring Co. v. Board of Commissioners of the Port of New Orleans*, FMC Docket No. 00-11, 2002 WL 33836158, *5 (F.M.C. June 28, 2002) (affirming the ALJ's finding that "the Shipping Act does not guarantee the right to enter into a contract, much less a contract with any specific terms...[A]ll that is required

is that common carriers, ocean transportation intermediaries . . . and MTOs refrain from shutting out any person for reasons having no relation to legitimate transportation-related factors.”).

Here, the second cause of action of PETW’s complaint alleges that the Port Authority unreasonably refused to deal or negotiate, in violation of 46 U.S.C. § 41106(3), by consistently refusing “to make any commitments whatsoever regarding its plans for Port Elizabeth Terminal & Warehouse Corp.’s continued operations at Port Newark.” *See* Barragan Cert. at Ex. A, p. 9, ¶ NN. PETW seemingly argues that since it was unable to secure an alternative space within the facility under terms agreeable to both parties, the Port Authority violated its rights under the Shipping Act by unreasonably refusing to deal or negotiate.

However, the Port Authority’s failure to make any commitments regarding PETW’s continued operations in Port Newark does not amount to a refusal to deal or negotiate. PETW’s own complaint concedes that Port Authority officials met with them on numerous instances from 2011 to 2017 to deal and negotiate. Whether those meetings amounted to a deal to allow PETW to continue its operations at Port Newark is beside the point for purposes of establishing a *prima facie* case of unreasonable refusal to deal or negotiate. As the above decisions illustrate, when parties are already dealing and negotiating with each other, a port operator’s rejection of a given offer or demand does not constitute a refusal to deal or negotiate.

The ALJ applied the correct legal standard in finding that “[a]n allegation of refusal to deal requires more than that a request is denied.” *See* the ALJ’s Initial Decision at p. 14. In addition, the ALJ was correct in finding that “PETW’s conclusory legal statements such as ‘unreasonably,’ provide no factual support of its allegations that the Port Authority’s conduct violated the Shipping Act.” *See* the ALJ’s Initial Decision at p. 14. This is so because even when “[a]ccepting the facts

asserted by PETW as true, the Port Authority met with PETW on a number of occasions.” *See* the ALJ’s Initial Decision at p. 13.

Moreover, “[a]lthough PETW asserts that those discussions were not done with ‘good faith’ on the part of the Port Authority, the only facts supporting that allegation are that the Port Authority did not agree with the demands of PETW.” *See* the ALJ’s Initial Decision at p. 13. The fact that “the Port Authority did not make a commitment regarding its plans does not suggest that the Port Authority was acting unreasonably or not in good faith. The mere fact of not receiving parity and of having different lease terms, which demonstrates a difference, is not sufficient to allege that the difference was unreasonable.” *See* the ALJ’s Initial Decision at p. 13.

As such, the ALJ did not err in finding that “PETW has not pled sufficient facts to plausibly suggest that there was a refusal to deal and to plausibly suggest that such a refusal was unreasonable.” *See* the ALJ’s Initial Decision at p. 13. The reason for same is that “the complaint does not provide plausible factual support for the allegation that the Port Authority unreasonably refused to deal or violated sections 41106(3) and 41104(10).” *See* the ALJ’s Initial Decision at p. 14. “Accordingly, the complaint, accepted as true, fails to allege sufficient factual matter to state a plausible Shipping Act claim.” *See* the ALJ’s Initial Decision at p. 14. Based on the foregoing, the Port Authority respectfully requests that the FMC affirm the ALJ’s dismissal of PETW’s claim that the Port Authority unreasonably refused to deal or negotiate.

B. The ALJ did not err in dismissing PETW’s claim for failing to establish, observe, and enforce just and reasonable regulations because PETW did not identify any regulations or practices that the Port Authority failed to establish, observe, or enforce.

46 U.S.C. § 41102(c) (Practices in Handling Property), provides that a “common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving,

handling, storing, or delivering property.” The appropriate inquiry under 46 U.S.C. § 41102(c) is “whether the charge levied is reasonably related to the services rendered.” *Maher Terminals, LLC*, 2015 WL 9426189, at *5 (quoting *Volkswagenwerk Aktiengesellschaft v. Fed. Mar. Comm’n*, 390 U.S. 261, 282 (1968) (internal quotation marks omitted)).

The “test of reasonableness as applied to terminal practices is that the practice must be otherwise lawful, not excessive, and reasonably related, fit and appropriate to the ends in view.” *Kawasaki Kisen Kaisha, Ltd. v. The Port Authority of New York and New Jersey*, FMC Docket No. 11-12, 2014 WL 7328475, at *9 (F.M.C. Nov. 20, 2014) (citations and internal quotation marks omitted). With regard to charges assessed by a marine terminal operator, the question is “not whether a complainant has received some substantial benefit, but whether the correlation of that benefit to the charges imposed is reasonable.” *Id.* A charge “is unreasonable if it is not reasonably related, either to an actual service performed for, or a benefit conferred upon, the person being charged.” *Id.* (citations and internal quotation marks omitted).

However, a “[c]omplainant’s conclusory legal statements, such as ‘just and reasonable,’ provide no factual support for the allegations that Respondent’s conduct violated the Shipping Act.” *Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, FMC Docket No. 12-02, 2015 WL 435475, at *10 (F.M.C. Jan. 30, 2015). Such a “complaint, accepted as true, fails to allege sufficient factual matter to state a plausible Shipping Act claim.” *Id.*

Here, PETW claims that the Port Authority violated 46 U.S.C. § 41102(c) because the Port Authority’s “regulations and practices favor Marine Terminal Operators over others based upon non-transportation factors in a way so as to unduly favor Marine Terminal Operators based upon status.” *See Barragan Cert. at Ex. A, p. 11, ¶ AAA.* Other than this conclusory legal statement, the complaint is bereft of any facts whatsoever to state a claim for relief that is plausible on its

face. The complaint neither mentions the regulations or practices the Port Authority failed to establish, observe, and/or enforce, nor describes how the Port Authority failed to establish, observe, and/or enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.

In her decision, the ALJ correctly found that “PETW does not identify specific regulations or practices that the Port Authority failed to establish, observe, or enforce.” *See* the Initial Decision at p. 15. The above decisions establish that the ALJ applied the correct legal standard in finding that the “[c]omplainant’s conclusory legal statements, such as ‘unreasonable,’ ‘unduly favor,’ and ‘no transportation purpose’ provide no factual support for the allegations that Respondent’s conduct violated the Shipping Act.” *See* the Initial Decision at p. 15. As such, the ALJ did not err in finding that “the complaint, accepted as true, fails to allege sufficient factual matter to state a plausible Shipping Act claim under section 41102(c).” *See* the Initial Decision at p. 15.

Based on the foregoing, the Port Authority respectfully requests that the FMC affirm the ALJ’s dismissal of the second and third causes of action of PETW’s complaint.

Conclusion

The ALJ did not abuse her discretion taking judicial notice of the News Article, the PNCT Agreement and documents from the proceedings before the Superior Court of New Jersey. The ALJ also did not err in dismissing PETW’s claims for reparations and unreasonable refusal to deal or negotiate and for failing to establish, observe, and enforce just and reasonable regulations.

Accordingly, the Port Authority respectfully requests that the FMC affirm the ALJ's Initial Decision Granting Motion to Partially Dismiss Complaint in its entirety.

PORT AUTHORITY LAW DEPARTMENT
*Attorneys for The Port Authority of New York
and New Jersey*

By: 

Juan M. Barragan

Dated: May 30, 2018

BEFORE THE
FEDERAL MARITIME COMMISSION

Docket No. 17-07

PORT ELIZABETH TERMINAL & WAREHOUSE CORP.
COMPLAINANT

v.

THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY
RESPONDENT

AFFIDAVIT OF SERVICE

Tyler L. Hinton, being duly sworn, deposes and says:

That I am a Law Intern in The Port Authority of New York and New Jersey Law Department, am over the age of eighteen (18) years, am not a party to this action and have an office address at 4 World Trade Center, 150 Greenwich Street, New York, New York.

That on the 30th day of May 2018, I served the annexed **RESPONDENT'S BRIEF IN REPLY TO THE COMPLAINANT'S EXCEPTIONS TO AND APPEAL OF THE INITIAL DECISION GRANTING MOTION TO PARTIALLY DISMISS COMPLAINT** upon:

Law Offices of Donald F. Burke
45 Gale Road
Brick, New Jersey 08723
Attn: Donald F. Burke, Esq.

LaRoe, Winn, Moerman & Donovan
1250 Connecticut Avenue North West, Suite 700
Washington, DC 20036
Attn: Paul M. Donovan, Esq.

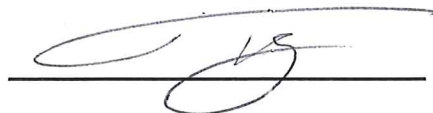
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Qualified in New York County
Commission Expires May 8, 2021



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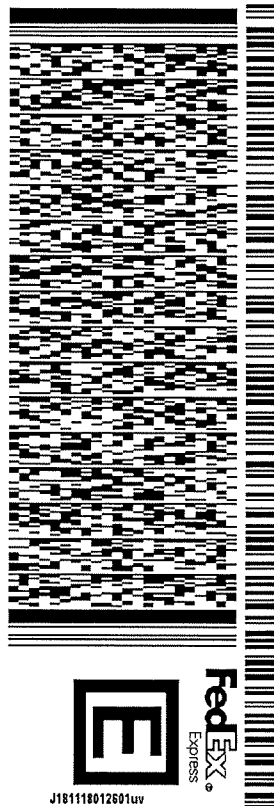
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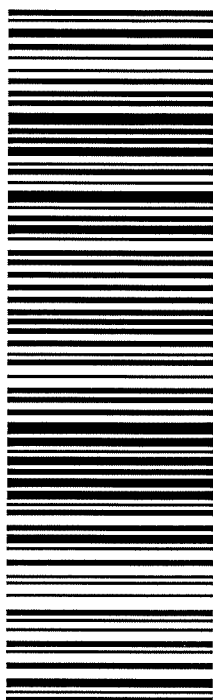
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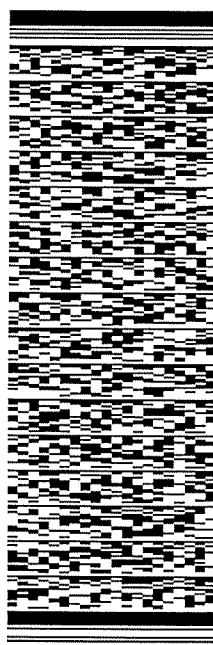
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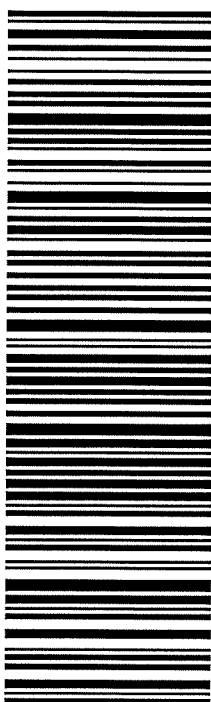
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